

Oversea-Chinese Banking Corp

Strategic Indo wealth bolt-on; mildly positive, limited near-term impact

Maintain Rating: BUY | PO: 23.00 SGD | Price: 21.87 SGD

Deal details — deposit-heavy wealth franchise acquisition

OCBC announced that Bank OCBC NISP will acquire HSBC Indonesia's IWPB business, comprising S\$6.6bn AUM — S\$4.3bn customer investments, S\$2.3bn deposits, and a small S\$0.3bn retail loan book. The deal will add 336k customers and 1,300 staff, with completion targeted for 2Q27. Consideration is based on NAV at completion + premium of up to S\$480mn; given deposits materially exceed loans, NAV could be low or negative, implying the premium is mainly for the wealth franchise, customer base and AUM scale.

Lowers NT dividend hopes, but better capital use?

NT, the transaction may temper hopes for incremental capital returns / higher payouts, which could be viewed as mildly negative by the Street. That said, we see the LT value creation opportunity as a better use of capital. Strategically, the deal is neutral to slightly positive, as it accelerates OCBC Indo's wealth scale in a capital-light segment that is difficult to build organically. Based on disclosed AUM uplift, this could position OCBC NISP as potentially one of the largest foreign-owned wealth platforms in Indo, further strengthening its competitive position in the affluent / PB segment.

Execution visibility needed to get materially excited

We would not overstate NT impact. The transaction is unlikely to be material for OCBC Group, with accretion only expected after 2Q27 completion, and execution risk around RM/client retention and integration. At ~7% of disclosed AUM, the premium looks somewhat full, although direct comparisons are imperfect given differences in book value treatment and client mix. As such, OCBC will need to demonstrate successful turnaround, to justify the economics. Overall, we view this as strategically fit and mildly positive for Indo wealth sentiment, but unlikely to drive a NT re-rating without clearer payback and ROE targets. We maintain our Buy rating on OCBC (~1.6x P/B) underpinned by strong wealth momentum and scope for valuation catch-up versus DBS (2.3x P/B).

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Equity

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Stock Data

Price	21.87 SGD
Price Objective	23.00 SGD
Date Established	2-Mar-2026
Investment Opinion	A-1-7
52-Week Range	15.69 SGD-22.93 SGD
Mkt Val / Shares Out (mn)	77,246 USD / 4,491.0
Market Value (mn)	98,218 SGD
Average Daily Value (mn)	111.95 USD
Free Float	85.2%
BofA Ticker / Exchange	OVCHF / SES
Bloomberg / Reuters	OCBCSP / OCBCSI
ROE (2026E)	12.4%

IWPB: International Wealth and Premier Banking
NAV: Net asset value
AUM: Assets under management
NT/LT: Near term/Long term
OCBC NISP: PT Bank OCBC NISP Tbk
RM: Relationship Management
PB: Premier Banking

Estimates (Dec) (\$\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	7,523	7,337	7,789	8,348	8,944
EPS	1.67	1.63	1.75	1.87	2.01
EPS Change (YoY)	7.7%	-2.4%	7.2%	7.2%	7.1%
Consensus EPS (Visible Alpha)			1.69	1.80	1.92
Dividend / Share	1.01	0.990	1.00	1.02	1.05
Pre-exceptional EPS	1.68	1.63	1.75	1.88	2.01
Pre-exceptional EPS Change (YoY)	7.0%	-2.9%	7.3%	7.2%	7.1%
Book Value / Share	12.80	13.38	14.10	14.97	15.93
Valuation (Dec)					
P/E	13.1x	13.4x	12.5x	11.7x	10.9x
Dividend Yield	4.62%	4.53%	4.57%	4.66%	4.80%
Pre-exceptional PE	12.99x	13.38x	12.47x	11.64x	10.87x
Price / Book	1.66x	1.59x	1.53x	1.44x	1.35x
RoE / PB	8.01x	7.62x	8.09x	8.75x	9.39x
Price / Pre-Provision Profit	11.28x	11.27x	10.69x	10.01x	9.38x

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Refer to important disclosures on page 6 to 8. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.

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Key Income Statement Data (Dec)

(\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Net Interest Income	9,755	9,150	9,249	9,578	9,872
Net Fee Income	1,970	2,411	2,700	3,024	3,387
Securities Gains / (Losses)	1,537	1,684	1,800	1,900	2,000
Other Income	1,116	1,195	1,250	1,300	1,400
Total Non-Interest Income	4,623	5,290	5,750	6,224	6,787
Total Operating Income	14,378	14,440	15,000	15,803	16,660
Operating Expenses	(5,742)	(5,882)	(6,133)	(6,322)	(6,516)
Pre-Provision Profit	8,636	8,558	8,866	9,481	10,144
Provisions Expense	(690.00)	(665.00)	(697.81)	(731.20)	(767.78)
Operating Profit	7,946	7,893	8,168	8,750	9,376
Non-Operating Income	36.00	153.00	226.00	226.00	226.00
Pre-Tax Income	8,976	9,123	9,594	10,276	11,002
Net Income to Comm S/Hold.	7,523	7,337	7,789	8,348	8,944
Adjusted Net Income (Operating)	7,523	7,337	7,789	8,348	8,944

Key Balance Sheet Data

Total Assets	625,050	675,688	708,275	743,659	781,149
Average Interest Earning Assets	443,419	478,684	514,440	537,234	558,458
Weighted Risk Assets	236,288	248,845	262,531	276,971	292,204
Total Gross Customer Loans	319,166	341,120	356,689	374,515	393,268
Total Customer Deposits	390,687	428,286	447,559	467,699	488,745
Tier 1 Capital	42,124	43,676	46,672	50,511	54,813
Tangible Equity	53,114	55,710	58,265	62,060	66,318
Common Shareholders' Equity	59,316	61,768	64,367	68,206	72,508

Key Metrics

Net Interest Margin	2.20%	1.91%	1.80%	1.78%	1.77%
Tier 1 Ratio	17.8%	17.6%	17.8%	18.2%	18.8%
Effective Tax Rate	13.7%	17.1%	16.0%	16.0%	16.0%
Loan / Assets Ratio	51.1%	50.5%	50.4%	50.4%	50.3%
Loan / Deposit Ratio	81.7%	79.6%	79.7%	80.1%	80.5%
Oper Leverage (Inc Growth - Cost Growth)	-2.6%	-2.0%	-0.4%	2.3%	2.4%
Gearing (Assets / Equity)	10.5x	10.9x	11.0x	10.9x	10.8x
Tangible Common Equity / Assets	8.5%	8.2%	8.2%	8.3%	8.5%
Tangible Common Equity / WRAs	22.5%	22.4%	22.2%	22.4%	22.7%
Revenue Growth	7.4%	0.4%	3.9%	5.4%	5.4%
Operating Expense Growth	9.9%	2.4%	4.3%	3.1%	3.1%
Provisions Expense Growth	-5.9%	-3.6%	4.9%	4.8%	5.0%
Operating Revenue / Average Assets	2.4%	2.2%	2.2%	2.2%	2.2%
Operating Expenses / Average Assets	1.0%	0.9%	0.9%	0.9%	0.9%
Pre-Provision ROA	1.4%	1.3%	1.3%	1.3%	1.3%
ROA	1.2%	1.1%	1.1%	1.1%	1.2%
Pre-Provision ROE	15.6%	14.5%	14.4%	14.7%	14.8%
ROE	13.3%	12.1%	12.4%	12.6%	12.7%
RoTE	14.2%	13.2%	13.4%	13.5%	13.5%
RoWRAs	3.2%	2.9%	3.0%	3.0%	3.1%
Dividend Payout Ratio	60.3%	60.6%	57.1%	54.3%	52.2%
Efficiency Ratio	44.7%	46.1%	46.5%	45.5%	44.4%
Headline Cost/Income Ratio	39.9%	40.7%	40.9%	40.0%	39.1%
Total Non-Interest Inc / Operating Inc	32%	37%	38%	39%	41%
Market-Related Revenue / Total Revenues	10.7%	11.7%	12.0%	12.0%	12.0%
Provisioning Burden as % of PPP	8.0%	7.8%	7.9%	7.7%	7.6%
NPLs plus Foreclosed Real Estate / Loans	0.9%	1.0%	1.0%	1.0%	1.0%
Loan Loss Reserves / NPLs	141.9%	136.5%	140.1%	143.6%	146.9%
Loan Loss Reserves / Total Loans	1.3%	1.3%	1.4%	1.4%	1.4%
Provisions Expense / Average Loans	0.2%	0.2%	0.2%	0.2%	0.2%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

OCBC is the second-largest bank group in Singapore by total assets. OCBC differs from local Singapore banking peers as it has a large life insurance business (88% of SGX-listed Great Eastern Holdings). It has a diversified presence across ASEAN and Greater China. In 2010, it acquired the Asian private banking assets of ING Asia Private Bank and has since rebranded it as Bank of Singapore. In 2014, Wing Hang Bank became a wholly owned subsidiary, expanding the group's Greater China operations.

Investment Rationale

We rate OCBC Buy. As we enter the rate cut cycle, OCBC's lower NIM sensitivity, scope for higher contribution from ASEAN businesses, better wealth management yields and operating efficiency seem under-appreciated by the market. OCBC's management revamp and renewed strategic plan focused on regional flows & wealth management will likely positively surprise over next 1-2 years, in our view. We also expect positive surprises on dividends. Hence we expect DBS's valuation premium over OCBC to narrow.

Stock Data

Price to Book Value

1.5x



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Price objective basis & risk

Oversea-Chinese Banking Corp (OVCHF)

Our PO of S\$23.00 is derived using a Gordon growth model, which assumes a sustainable ROE of 12.7%, cost of equity of 8.6%, and a long-term growth rate of 2.0%. This implies a warranted PBV of 1.6x.

Downside risks: protracted global economic slowdown, a significant deterioration in the asset quality environment, and volatility of its insurance and trading income.

Upside risks: are better than expected macro recovery, and higher leverage from more active capital management.

Analyst Certification

I, Sukriti Bansal, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

South Asia Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aditya Birla Capital	XADIF	ABCAP IN	Pujita Pasumarthi
	AU Small Finance Bank	XAIIF	AUBANK IN	Madhur Sharma
	Bajaj Finance	XECVF	BAF IN	Pujita Pasumarthi
	Bandhan Bank	XBNDF	BANDHAN IN	Madhur Sharma
	Bank Central Asia	PBCRF	BBCA IJ	Sukriti Bansal
	Bank Mandiri	PPERF	BMRI IJ	Sukriti Bansal
	Bank Negara Indonesia	PBNNF	BBNI IJ	Sukriti Bansal
	Bank of Baroda	XZYRF	BOB IN	Madhur Sharma
	Bank of the Philippine Islands	BPHLF	BPI PM	Julian Roxas
	BDO Unibank	BDOUF	BDO PM	Julian Roxas
	Canara Bank	CNRKF	CBK IN	Madhur Sharma
	CIMB Group	CIMDF	CIMB MK	Aiden Chionh
	Groww (Billionbrains Garage Ventures)	XBGXF	GROWW IN	Madhur Sharma
	HDFC Bank	HDFBF	HDFCB IN	Madhur Sharma
	HDFC Bank	HDB	HDB US	Madhur Sharma
	ICICI Bank	XLORF	ICICIB IN	Madhur Sharma
	ICICI Bank	IBN	IBN US	Madhur Sharma
	Kasikornbank	KPCKF	KBANK TB	Sarachada Sornsong
	Kotak Mahindra Bank	XWIUF	KMB IN	Madhur Sharma
	Krungthai Bank	KGTLF	KTB TB	Sarachada Sornsong
	Krungthai Card	XXHFF	KTC TB	Sarachada Sornsong
	Manappuram Finance	XMGPF	MGFL IN	Pujita Pasumarthi
	Metrobank	MTPOF	MBT PM	Julian Roxas
	Muangthai Capital	XMCPF	MTC TB	Sarachada Sornsong
	Muthoot Finance	XMFLF	MUTH IN	Pujita Pasumarthi
	Oversea-Chinese Banking Corp	OVCHF	OCBC SP	Sukriti Bansal
	Power Finance Corporation	PWFEF	POWF IN	Pujita Pasumarthi
	Public Bank	PBLOF	PBK MK	Aiden Chionh
	SCB X PCL	SCBXF	SCB TB	Sarachada Sornsong
	Security Bank	SYBJF	SECB PM	Julian Roxas
	Shriram Finance	SHTFF	SHFL IN	Pujita Pasumarthi
	Srisawad Corporation	SRISF	SAWAD TB	Sarachada Sornsong
	Star Health Insurance	XRUF	STARHEAL IN	Pujita Pasumarthi
	State Bank of India	XDWRF	SBIN IN	Madhur Sharma
	Tidlors Holdings	XTXHF	TIDLOR TB	Sarachada Sornsong
	TMBThanachart Bank	XMKZF	TTB TB	Sarachada Sornsong
	United Overseas Bank	UOVEF	UOB SP	Sukriti Bansal
	United Overseas Bank	UOVEY	UOVEY US	Sukriti Bansal

South Asia Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
NEUTRAL				
	Aditya Birla Sun Life AMC	XABSF	ABSLAMC IN	Pujita Pasumarthi
	Axis Bank	XLIRF	AXSB IN	Madhur Sharma
	Bajaj Housing Finance	XBACF	BAJAJHFL IN	Pujita Pasumarthi
	Bank of India	XDIIF	BOI IN	Madhur Sharma
	Bank Rakyat Indonesia	BKRKF	BBRI IJ	Sukriti Bansal
	HDB Financial Services	XHFEF	HDBFS IN	Pujita Pasumarthi
	HDFC Asset Management Company Limited	XJARF	HDFCAMC IN	Pujita Pasumarthi
	IDFC First Bank	XQUFF	IDFCFB IN	Madhur Sharma
	IPRU AMC	XMFCF	ICICIAMC IN	Pujita Pasumarthi
	JMT Network Services	XQXRF	JMT TB	Narumon Ekasamut
	LIC Housing Finance	XLIF	LICHF IN	Pujita Pasumarthi
	Mahindra Finance	XGDAF	MMFS IN	Pujita Pasumarthi
	REC	XULEF	RECL IN	Pujita Pasumarthi
	Singapore Exchange	SPXCF	SGX SP	Sukriti Bansal
	Union Bank Of India	UBOIF	UNBK IN	Madhur Sharma
	Union Bank of the Philippines	UBOPF	UBP PM	Julian Roxas
UNDERPERFORM				
	Bangkok Bank	BKKLF	BBL TB	Sarachada Sornsong
	DBS Group	DBSDF	DBS SP	Sukriti Bansal
	DBS Group	DBSDY	DBSDY US	Sukriti Bansal
	Federal Bank	XMTRF	FB IN	Madhur Sharma
	Indusind Bank	IDUBF	IIB IN	Madhur Sharma
	Maybank	MLYNF	MAY MK	Aiden Chionh
	Punjab National Bank	XQGRF	PNB IN	Madhur Sharma
	RBL Bank	XKITF	RBK IN	Madhur Sharma
	SBI Cards	XLJGF	SBICARD IN	Pujita Pasumarthi
	Tisco Financial Group	XTXGF	TISCO TB	Sarachada Sornsong
	UTI Asset Management Company	XUTTF	UTIAM IN	Pujita Pasumarthi

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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OCBC (OVCHF) Price Chart



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Equity Investment Rating Distribution: Banks Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	117	53.42%	Buy	98	83.76%
Hold	59	26.94%	Hold	47	79.66%
Sell	43	19.63%	Sell	35	81.40%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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